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PRINCIPLES OF MANAGEMENT

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Module III

Module III

Human Resource Management: Introduction, definition, objectives, characteristics, functions, principles and organization of HR management, Recruitment, selection process and training methods, Wages and incentives, Job evaluation and merit rating, Industrial accidents-causes and related issues

Marketing Management: Introduction, Functions and objectives, Marketing environment and Information, Market segmentation, Distribution channels, Consumer and Industrial markets, Consumer behaviour, Pricing methods, Sales promotion and Advertisement. Market research: Objectives and methods.



Text Book

References:

1. Fraidoon Mazda, Engineering Management, Addison-Wesley, (1997).
2. Koontz and O'Donnell, Essentials of Management, Mc Graw Hill, (1978).
3. Kotler P., Marketing Management, Prentice Hall, (2011).
4. Prasanna Chandra, Finance Management, Tata Mc Graw Hill, (2008).
5. Monks, J. G., Operations Management, Mc Graw Hill, (1982).
6. Production and Operations Management, PHI(2010).

Consider this PPT as starting point, always refer standard text books!



Human Resource Management



Example: HRM

On October 3, 2003, Anant Dalvi and Akhtar Khan, who worked as contract workers in Tata Electric Company until they were laid off in 1996, doused themselves with kerosene and set themselves ablaze even as their co-workers protested before the company's offices. While Dalvi died on the spot, Khan died a few days later.

The Tata Electric Company said they were no longer on their payroll and were not permanent workers. Employees union had taken up their case and filled petition in the Labour Court before their contracts were terminated. The court directed the company not to terminate their services without following the due process of law. Despite this their services were terminated on June 30, 1996.

The company union promised the workers that they would renegotiate. Yet on the night before they killed themselves when Khan and Dalvi spoke to the union leader Shinde, they were told that nothing more could be done for them. It is this that led them to take their lives. Dalvi has been in service as a peon for 17 years and Khan had been employed for 19 years. But their services were not regularized. Such workers draw salary much less than the permanent employees.

This is an example of the problem that comes under the purview of Human Resource Management- the main concept elaborated in this chapter.



Personnel Management

- It is one of the specialized functions necessary for the **effective utilization of human resources (promoting and stimulating every employee)**
- Defined as “that part of the total management of an organisation which specifically deals with human resources in respect of:
 - **Their procurement**
 - **Their development in terms of skills, knowledge, attitude**
 - **Their motivation towards the attainment of organizational objectives by creating and maintaining an organisational climate conducive to such development.**



Principles of Personnel Management

- Principle of maximum industrial development:- Workers are able to fulfill the objectives of an organisation with min cost and their developed ability, cleverness, productivity and efficiency could be used for the objective.
- Principle of scientific selection:- Selecting the right person to do the right job.
- Principle of high morale:- It helps in increasing their intension to do work.
- Principle of Dignity of labour:- Workers should feel proud of their work.
- Principle of team spirit: They must have a sense of co operation, unity and mutual trust.



Principles of Personnel Management

- Principle of effective communication:- A medium of effective communication between the management and workers should have to be maintained.
- Principle of joint management:- Profit must be shared with workers which increases mutual faith and friendship among them.
- Principle of fair reward:- Proper compensation should be given for their work, which helps in maintaining industrial peace.
- Principle of effective utilization of human resources
- Principle of contribution of national prosperity:- Develop a sense in labour that success of the organisation is the success of economic development of the nation.



Objectives

- Aims at getting the **best out of people by winning and maintaining their whole hearted collaboration**
- To attain **maximum individual development, desirable work atmosphere and inter personnel relations** etc.
- **Understanding of people at work**
- Building up of **morale and motivation among workers**
- Providing better **service to the society and distributing profits fairly among the personnel in the enterprise**



Scope of HRM

- It involves **obtaining and maintaining an efficient work force as a means of achieving profitable goods and services.**
 1. **Development of personnel policy:-** to discharge duties & responsibilities by managers
 2. **Manpower planning**
 3. **Recruitment and selection of manpower**
 4. **Analysis, description and valuation of work**
 5. **Compensation and schemes of appraisal of work, also informing the employees about their accomplishment and failures to facilitate development.**



Scope of HRM

- 6. Keeping records of personnel**
- 7. Welfare and safety programmes**
- 8. Training and development of manpower**
- 9. Wages and salary administration**
- 10. Collective bargaining (negotiations with trade union)**
- 11. Employee grievance handling**
- 12. Promotion, transfers and retirement of employees.**

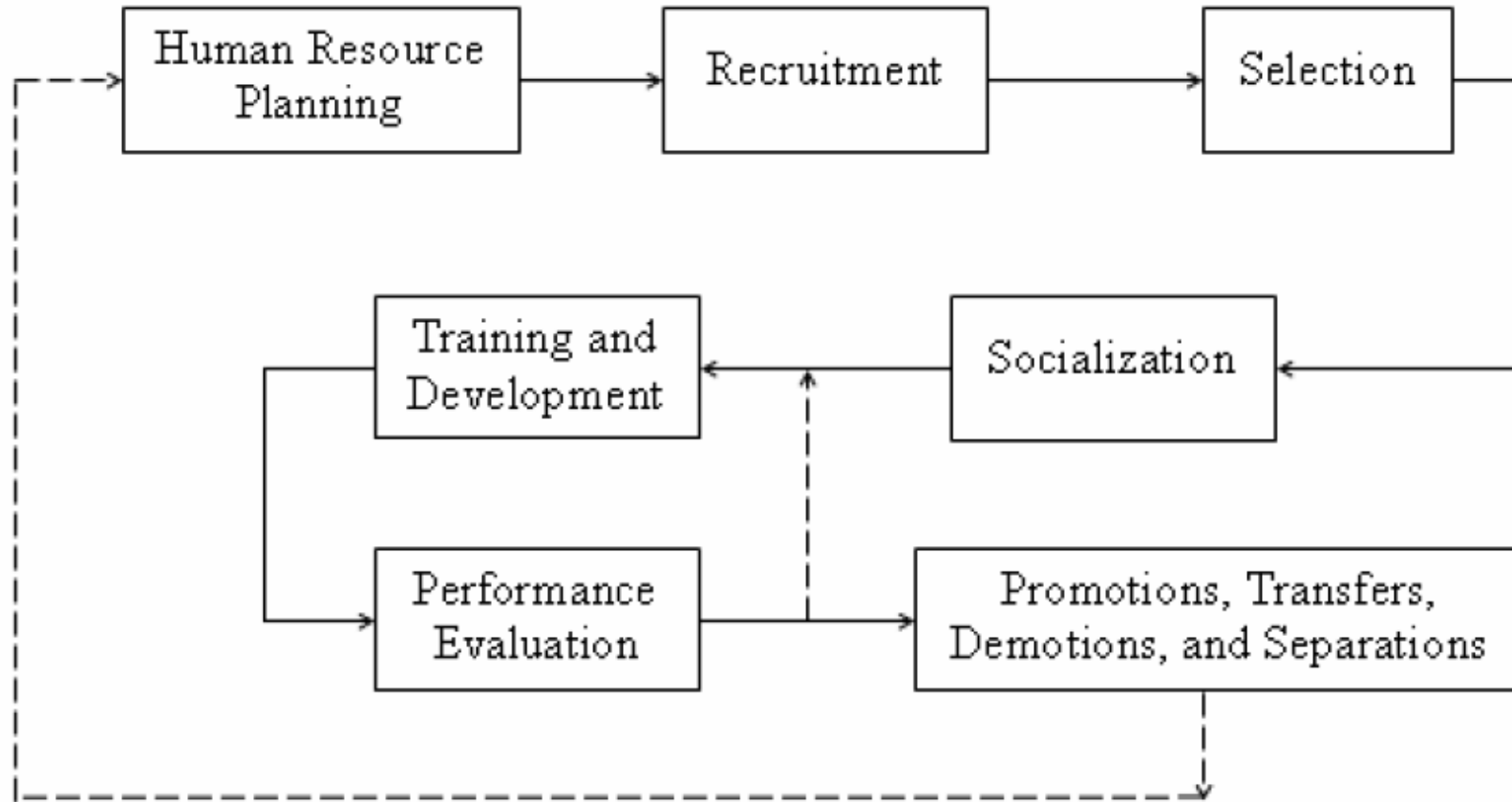


Functions of Human Resources Management

1. Procurement
2. Training and Development
3. Compensation
4. Integration
5. Maintenance



HRM process in organizations



I. Procurement

- Procurement is concerned with the **obtaining of the proper quantity and quality of workforce necessary to accomplish objectives and functions of an organization.**
- It includes the **determination of human resources requirements and their recruitment and selection.**
- Recruitment is **developing a pool of job candidates in line with the human resource plan.**
- Candidates are usually identified through
 - Advertisement
 - Employment agencies (including LinkedIn, Naukri etc.)
 - Word of mouth
 - Visit to colleges and university campuses



Selection

- Selection is the **mutual process** whereby the **organization decides whether or not to make a job offer** and the **candidate decides whether or not to accept it**.
- The standard hiring sequence is the **seven-step procedure**.
- In practice, however, the actual selection process varies with different organizations and between levels in the same organization.

Steps involved in selection process

Steps involved in selection

PROCEDURES	PURPOSES	ACTIONS AND TRENDS
1. Completed job application	Indicates applicant's desired position; provides information for interviews	Requests only information that predicts success in the job
2. Initial screening interview	Provides a quick evaluation of applicants suitability	Asks questions on experience, salary expectation, willingness to relocate etc.
3. Testing	Measures applicants job skills and the ability to learn on the job.	May include computer testing software, handwriting analysis, mental and physical ability.
4. Background investigation	Checks truthfulness of applicants resume or application form	Calls the applicant's previous supervisor (with permission) and confirms information from applicant.
5. In-depth selection interview	Finds out more about the applicant as an individual	Conducted by the manager to whom the applicant will report.



Steps involved in selection process...

6. Physical examination	Ensures effective performance by applicant; protects other employees against diseases, establishes health record on applicant; protects firm against unjust worker's compensation claims.	Often performed by company's medical order.
7. Job offer	Fills a job vacancy or position	Offers a salary plus benefit package.

Recruitment System

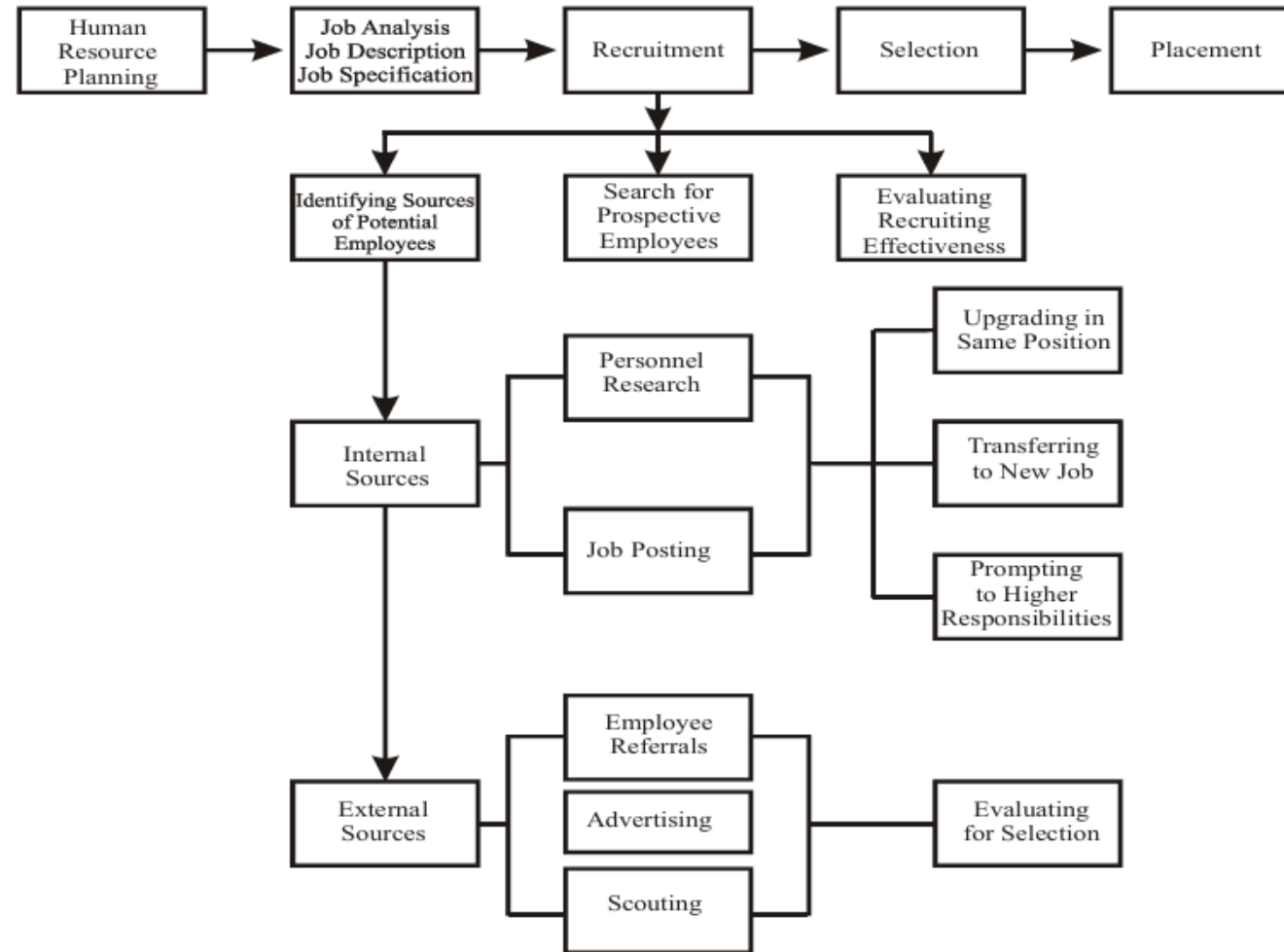


Figure 4.2 : Place of Recruitment in Selection System

Example: When supply is more than demand!

After '2002 pay package' for freshers, here's another 'salary low' from Cognizant: 1% salary hikes

TOI Tech Desk / TIMESOFINDIA.COM / Updated: Aug 16, 2024, 09:04 IST

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Cognizant faced criticism for offering minimal salary hikes, as low as 1%, and historically low starting salaries to freshers. Despite posting increased quarterly profits, the company deferred increments by four months.

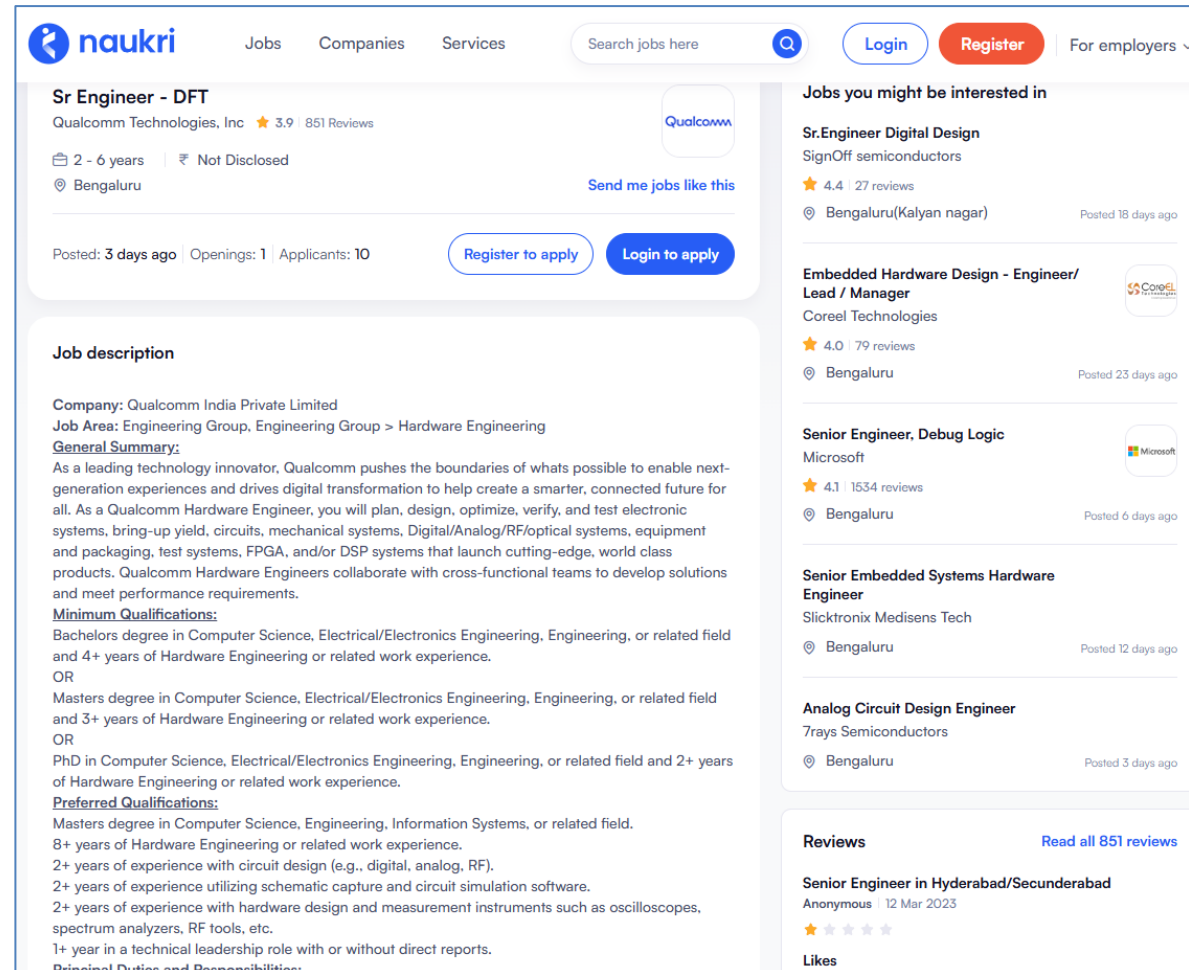


IT giant [Cognizant](#) is under fire for implementing minimal salary hikes and offering historically low starting salaries to freshers. Despite posting a quarterly profit increase, the company has drawn widespread criticism for its



[After '2002 pay package' for freshers, here's another 'salary low' from Cognizant: 1% salary hikes - Times of India \(indiatimes.com\)](#)

Example: Recruitment through Portals



The screenshot shows a job listing on the Naukri portal. The main listing is for 'Sr Engineer - DFT' at 'Qualcomm Technologies, Inc.' with a rating of 3.9 and 851 reviews. The job requires 2-6 years of experience and is located in Bengaluru. It was posted 3 days ago, with 1 opening and 10 applicants. The job description includes a general summary of Qualcomm's work, minimum qualifications (Bachelor's or Master's degree in Computer Science, Electrical/Electronics Engineering, or related field, with 4+ or 3+ years of experience respectively), preferred qualifications (Master's degree, 8+ years of experience, etc.), and principal duties. To the right, there are recommendations for other jobs: 'Sr.Engineer Digital Design' at SignOff semiconductors, 'Embedded Hardware Design - Engineer/Lead / Manager' at Coreel Technologies, 'Senior Engineer, Debug Logic' at Microsoft, 'Senior Embedded Systems Hardware Engineer' at Slicktronix Medisens Tech, and 'Analog Circuit Design Engineer' at 7rays Semiconductors. At the bottom right, there is a 'Reviews' section for a 'Senior Engineer in Hyderabad/Secunderabad' position.

Sr Engineer - DFT
Qualcomm Technologies, Inc ★ 3.9 | 851 Reviews

2 - 6 years | ₹ Not Disclosed
Bengaluru

Posted: 3 days ago | Openings: 1 | Applicants: 10

Job description

Company: Qualcomm India Private Limited
Job Area: Engineering Group, Engineering Group > Hardware Engineering

General Summary:
As a leading technology innovator, Qualcomm pushes the boundaries of what's possible to enable next-generation experiences and drives digital transformation to help create a smarter, connected future for all. As a Qualcomm Hardware Engineer, you will plan, design, optimize, verify, and test electronic systems, bring-up yield, circuits, mechanical systems, Digital/Analog/RF/optical systems, equipment and packaging, test systems, FPGA, and/or DSP systems that launch cutting-edge, world class products. Qualcomm Hardware Engineers collaborate with cross-functional teams to develop solutions and meet performance requirements.

Minimum Qualifications:
Bachelors degree in Computer Science, Electrical/Electronics Engineering, Engineering, or related field and 4+ years of Hardware Engineering or related work experience.
OR
Masters degree in Computer Science, Electrical/Electronics Engineering, Engineering, or related field and 3+ years of Hardware Engineering or related work experience.
OR
PhD in Computer Science, Electrical/Electronics Engineering, Engineering, or related field and 2+ years of Hardware Engineering or related work experience.

Preferred Qualifications:
Masters degree in Computer Science, Engineering, Information Systems, or related field.
8+ years of Hardware Engineering or related work experience.
2+ years of experience with circuit design (e.g., digital, analog, RF).
2+ years of experience utilizing schematic capture and circuit simulation software.
2+ years of experience with hardware design and measurement instruments such as oscilloscopes, spectrum analyzers, RF tools, etc.
1+ year in a technical leadership role with or without direct reports.

Principal Duties and Responsibilities:

Jobs you might be interested in

Sr.Engineer Digital Design
SignOff semiconductors
★ 4.4 | 27 reviews
Bengaluru(Kalyan nagar) | Posted 18 days ago

Embedded Hardware Design - Engineer/Lead / Manager
Coreel Technologies
★ 4.0 | 79 reviews
Bengaluru | Posted 23 days ago

Senior Engineer, Debug Logic
Microsoft
★ 4.1 | 1534 reviews
Bengaluru | Posted 6 days ago

Senior Embedded Systems Hardware Engineer
Slicktronix Medisens Tech
Bengaluru | Posted 12 days ago

Analog Circuit Design Engineer
7rays Semiconductors
Bengaluru | Posted 3 days ago

Reviews [Read all 851 reviews](#)

Senior Engineer in Hyderabad/Secunderabad
Anonymous | 12 Mar 2023
★ ★ ★ ★ ★
Likes

[Sr Engineer - DFT - Bengaluru/Bangalore - Qualcomm Technologies, Inc - 2 to 6 years of experience \(naukri.com\)](#)



2. Training and Development

- The quality of employees and their development through **training and education are major factors in determining long-term profitability of a concern.**
- Both managers and non-managers may benefit from training and development programs, but the mix of experiences is likely to vary.
- Non – managers are often trained in the **technical skills**, whereas the focus of **training managers will be in developing conceptual and human relations skill.**



2. Training and Development

- Since training involves time, effort and money it is important to be very careful while designing a training program.
- The **objectives and need for training should be clearly identified** and the method or type of training should be chosen according to the needs and objectives established. Two commonly methods of training are:
 - On-the-job training methods
 - Off-the-job training methods



Training Methods

On-the Job Methods

Apprenticeship Programs



Coaching



Internship Training



Job Rotation



Training Methods



Off-the Job Methods



Conferences



Films



Case Study



Computer Modelling



Vestibule Training



Programmed Instruction

2.1 On-the-job training methods

- On-the-job methods enable the trainees to learn as they contribute to the aims of the enterprise. The following are some of the On-the-job training methods.
 - **Job rotation**, in which the employee, over a period of time, works on a series of jobs, thereby learning a broad variety of skills.
 - **Internship** in which job training is combined with related class room instructions.
 - **Apprenticeship** in which the employee is trained under the guidance of a highly skilled co-worker.
 - **Coaching** is the training of an employee by **his/her immediate superior**. The superior guides his sub-ordinates and gives him/her job instructions. The superior points out the mistakes and gives suggestions for improvement.



2.2 Off-the-job training methods

- Off the job training takes place outside the workplace but attempts to simulate actual working conditions. This type of training includes:
 - **Vestibule training** - Employees **train on the actual equipment and in a realistic job setting, but in a room different from the one in which they will be working.** The objective is to avoid the on the job pressures that might interfere with the learning process.
 - **Audiovisual methods** such as television, videotapes and films are employed for providing real world conditions and situations in a short time. The major flaw with the audiovisual method is that it does not allow for questions and interactions with the speaker, nor does it allow for changes in the presentation for different audiences.

2.2 Off-the-job training methods

- **Computer-Assisted Instruction (CAI)** can be employed which can reduce the time needed for training and also can provide more help for individual trainees. They also allow the trainee to learn at his or her own space.
- **Classroom Instructions-** In this approach specialist from inside or outside the organization teach trainees a particular subject. Classroom instruction is often supplemented with exercises.
- **Planned Readings, involves reading of relevant literature.** The training department may aid a manager by providing a list of valuable books. This is essentially a self-development



Example: Training in Infosys, TCS ...



13,500

Fresh graduates trained in a batch

15+

Years of professional training

45+

New-age technology courses

80,000+

Books across technology domains

238,000+

Professionals trained since 2005

350+

Trainers

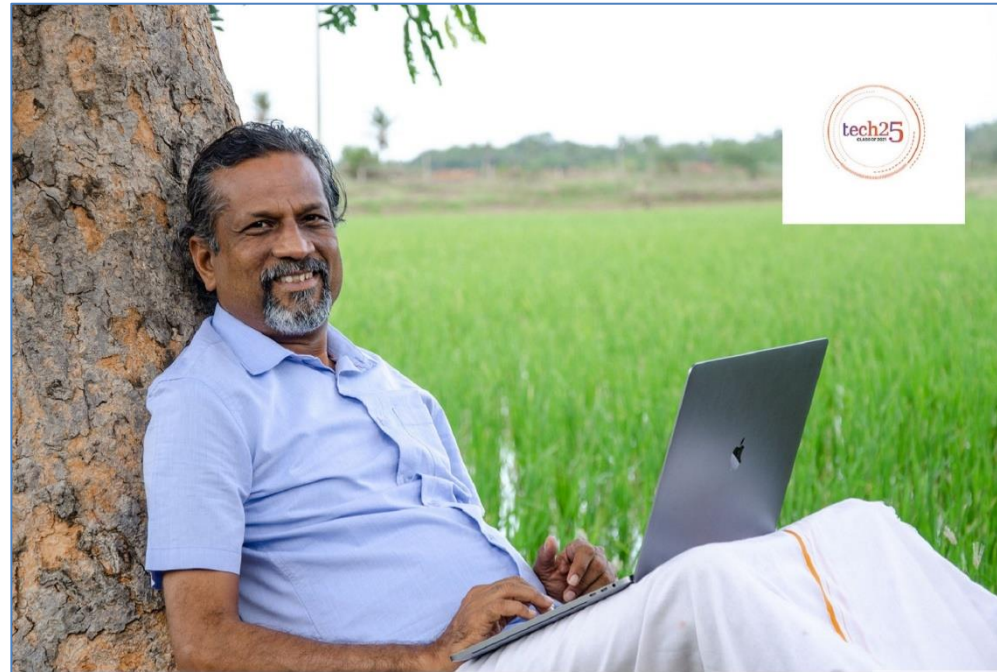
Companies spend crores of rupees to train campus recruited candidates to make them industry ready!



[Infosys Careers - Training at Infosys Global Education Center](#)

[End-to-end Corporate Learning and Development with TCS' Services](#)

ZOHO Experiment: R & D and RD (Rural Development)



How this is different:

Establishing offices in rural areas and grooming potential employees from school level itself



[The Zoho experiment: Sridhar Vembu dabbles with village offices as employees move home | YourStory](#)
[Zoho expands its rural initiatives; opens new hub offices, schooling centres | Zee Business \(zeebiz.com\)](#)

<https://www.youtube.com/watch?v=RINKUFWzwfk>

3. Compensation

- Compensation provides for the adequate and **equitable remuneration of the work** force in order to secure their best contribution to the achievement of the organization's goals.
- **Fixing wage rates for different categories of employees** is an important task of management.
- The **employees are not only concerned with wages received** but also concerned with the **level of wages received by same level of employees** in similar organizations.
- The relative wage rules should be fixed carefully, because they have implications for promotion, transfer, seniority and other important personnel matters.



Example: CTC (Cost To the Company)

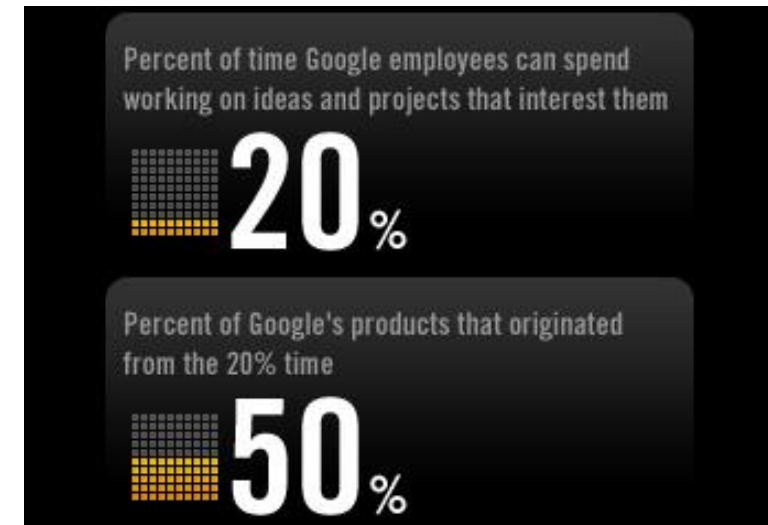
Description	Component Name	Amount (per annum)
Basic	Basic	5,00,000
Allowances	DA (10%)	50,000
	HRA (20%)	1,00,000
	Conveyance (2.5%)	12,500
	Entertainment (2.5%)	12,500
	Overtime (2.5%)	12,500
	Medical Reimbursements	20,000
	Bonus	60,000
Gross Salary		767500
Other Benefits	Medical Insurance	4000
	PF (12%)	60,000
	Laptop	50,000
Total Benefits		114000
CTC	Benefits + Gross	881500



[CTC in Salary and How is Basic Calculated? \(sumopayroll.com\)](http://sumopayroll.com)

Example: Google's '20% time' policy

- A strategy that allows employees to spend up to 20% of their work time on projects of their choosing, outside of their regular job responsibilities
- The policy's goals include: Encouraging creativity and innovation, Helping employees develop new skills, and Fostering employee engagement
- Google's most iconic products, can be traced back to 20% time projects.
 - Google News
 - Gmail
 - Adsense



4. Integration

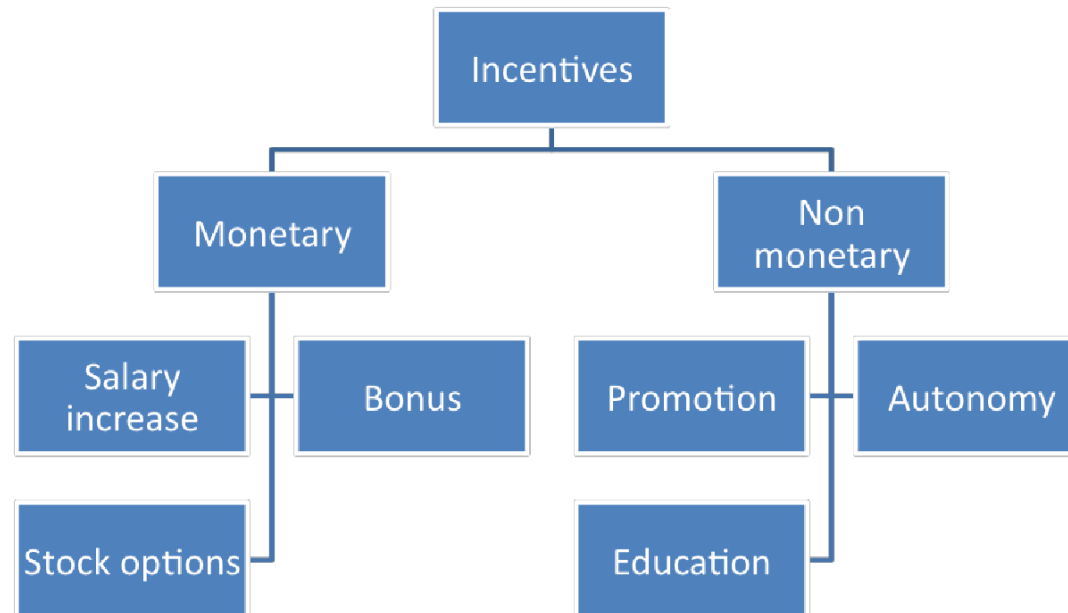
- The basic objective of human resource management is **to secure maximum performance from the employees**. This can be accomplished only through **better integration between the organization and its employees**.
- An effective integration between the organization and its employees depends on three things, namely **motivation, leadership and communication**.
- In recent years the human relation exponents have revolutionized the ways and means of dealing with employees for greater performance and productivity.

5. Maintenance

- This function of personnel management is concerned with **maintaining the abilities and attitudes already created and improving the conditions established through health safety, welfare and benefits programs**

Wages and Incentives

- Wage may be defined as payment for the use of labour and it includes money as well as non-money payments.



Wages and Incentives

- Wage payment plans or systems can broadly be classified into two categories:
 - **Time rate system** or non-incentive system, wherein the earnings of the worker is proportional to the time spent by him on the work. This system of wage payment is independent upon the quantity of output produced by the worker. If R is the wage rate per hour and T is the number of hours of work, then the earnings of the worker, E can be expressed as: $E = RT$
 - **Incentive system** wherein the earnings of the worker is proportional to the **quantity of output** produced.

Incentive system

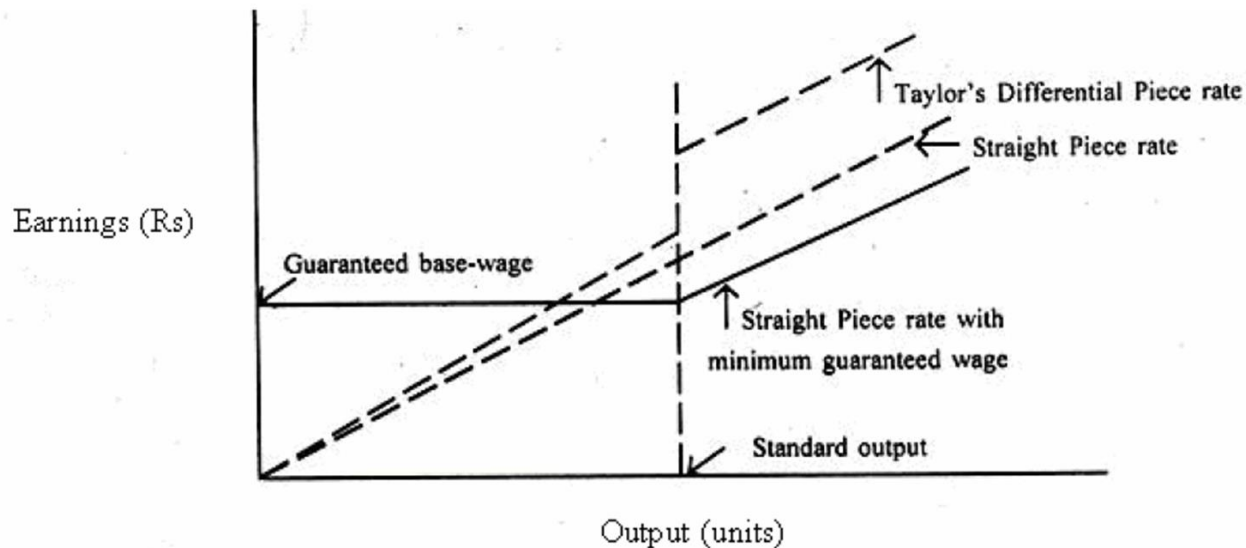
- **Straight Piece Rate System**
 - It is the simplest method of payment and under this method payment is made according to the number of units produced at a fixed rate per unit
- **Straight Piece Rate System with a Guaranteed Wage**
 - Under this system, a standard output is set by the management and a corresponding minimum guaranteed wage is also fixed.
 - If a worker produces less than (or equal to) the standard output he will be getting the minimum guaranteed wage.
 - On the other hand, if a worker exceeds this standard, he will be paid in accordance with the straight piece rate system.



Incentive system

- **Differential Piece Rate System**

- In this system, up to a certain production level, which is the standard output, a piece rate is given. A worker who exceeds this output will be paid at a higher piece rate.
- However, this system of wage payment does not guarantee minimum base wage.



Straight Piece Rate System

Advantages	Disadvantages
• Efficiency is recognized • Motivates the workers • Computation of labour cost is easy • Less Idle Time • Helps to boost production	• No Guaranteed Wages • Uncertainty in Income • More scrap and defective Work

Straight Piece Rate System with a Guaranteed Wage

Advantages	Disadvantages
• Provides a guaranteed minimum wage. • The minimum wage takes care of the enforced idleness beyond the control of workers.	• The system does not offer sufficient incentive for a worker who exceeds the set output standard.

Differential Piece Rate System

Advantages	Disadvantages
• Provides incentives to efficient worker • Penalizes inefficient worker • Focuses on high production rate • Simple and easy to implement	• Minimum wage is not assured. • No consideration for the machine failure, power failure, etc. • Over emphasis on high production rate • There are chances that quality of work may suffer

Job Evaluation

- Defining relative worth of different jobs in an organization by analysing their responsibilities, and fixation of their remuneration
- Features
 - Tries to assess jobs not people
 - Standards of job evaluation are relative, not absolute
 - Job evaluations are carried out by groups, not by individuals
 - It tries to link pay with requirements of the job
- It is a systematic procedure for determining relative worth of jobs
- Rank based on rational criteria such as skill, education, experience, responsibilities, hazards etc. and priced accordingly



Performance Appraisal



Performance Appraisal

- Performance appraisal/evaluation is the process of deciding how employees do their jobs
 - How well and individual is fulfilling the job requirement
 - Systematic process (periodic)
 - Settling work standards
 - Assessing employees' actual performance related to these standards
 - Offering feedback such that employee can improve
- Appraisal of employees serves several useful purposes:
 - Compensation decision
 - Promotion decision
 - Training and development programmes
 - Feedback
 - Personal development



Industrial Accidents



Industrial Accidents

- Caused by the **mismanagement of the events causing to accident**
- Majority of accidents are the **result of unsafe conditions and work practices that have been ignored or tolerated for weeks, months, or even years**
- Some **2.3 million workers die** from work-related accidents and diseases; over 474 million people suffer from **occupational diseases and non-fatal accidents**
- **Not simply because of human or technological failure**, but because of the failure of **Management Control Systems**

“Accident is an unfortunate incident that happens unexpectedly and unintentionally, typically resulting in damage or injury”

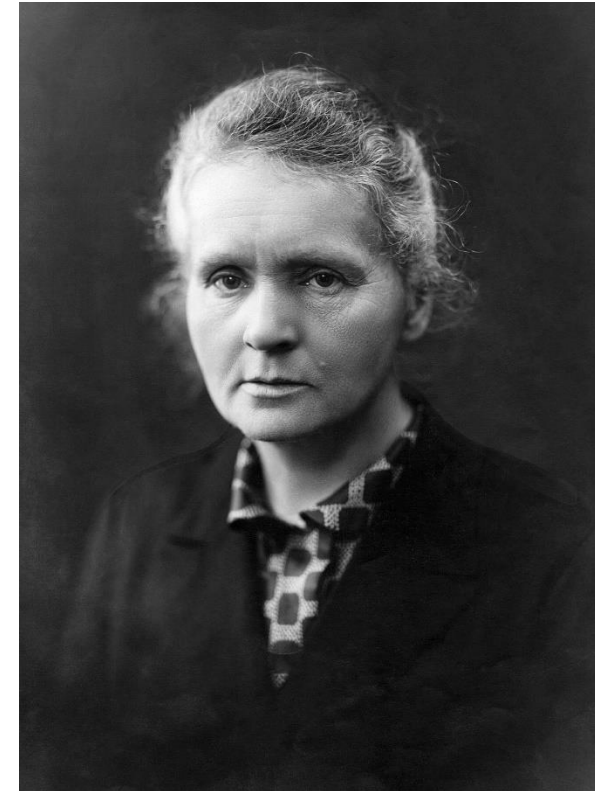


Types of accidents

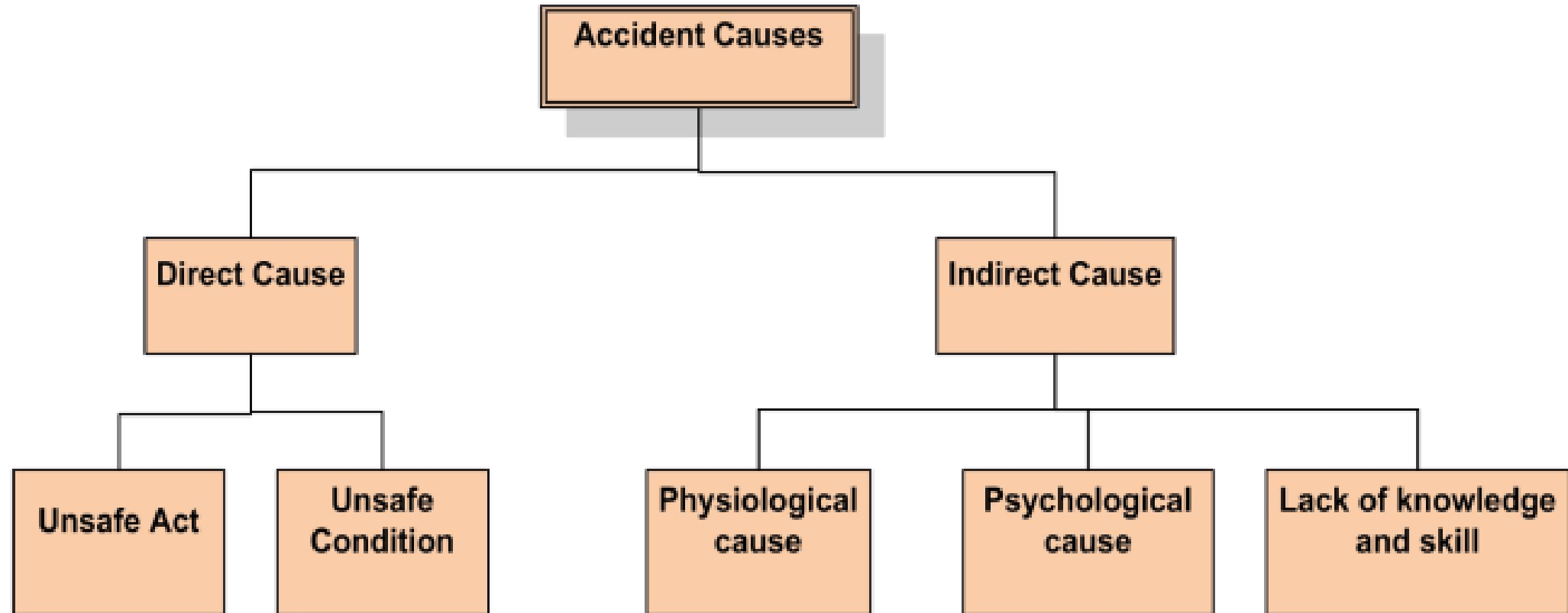
- **Accident with direct consequence:-** unexpected and undesired event that is actuated unintentionally and apparently by chance
- **Accident giving increased probability for injury or damage:-** unexpected and undesired event causing harm to a person, but its consequence(s) is(are) indirect. For example, there is the likelihood of lung problems due to exposure of a person to toxic gases of a chemical plant in case of any leakage/accident
- **Slow deterioration or degeneration:-** Examples include occupational diseases or environmental destruction caused by continuous exposure or the absorption of repeated small doses of chemical substances, prolonged overexertion, etc.

Example: Marie Curie

- Pioneering research in the field of Radio activity
- Nobel Prize in Physics (1903), Chemistry (1911)
- The cause of **her death** was given as **aplastic pernicious anaemia**, a condition she developed **after years of exposure to radiation through her work**



Causes of Industrial Accidents



Causes of Industrial Accidents:- Direct

- **Unsafe Act**
 - Without safety devices
 - Unsafe loading/unloading practices
 - Use of incorrect tools and machines
- **Unsafe Conditions**
 - Defective tools. Machine
 - Poor ventilation leading to suffocation
 - Poor lighting conditions

Some industrial disasters

- Bhopal disaster (1984)
- Chernobyl disaster (1986)
- Deepwater Horizon oil spill (2010)



Fun facts: FM Global Insurance Company

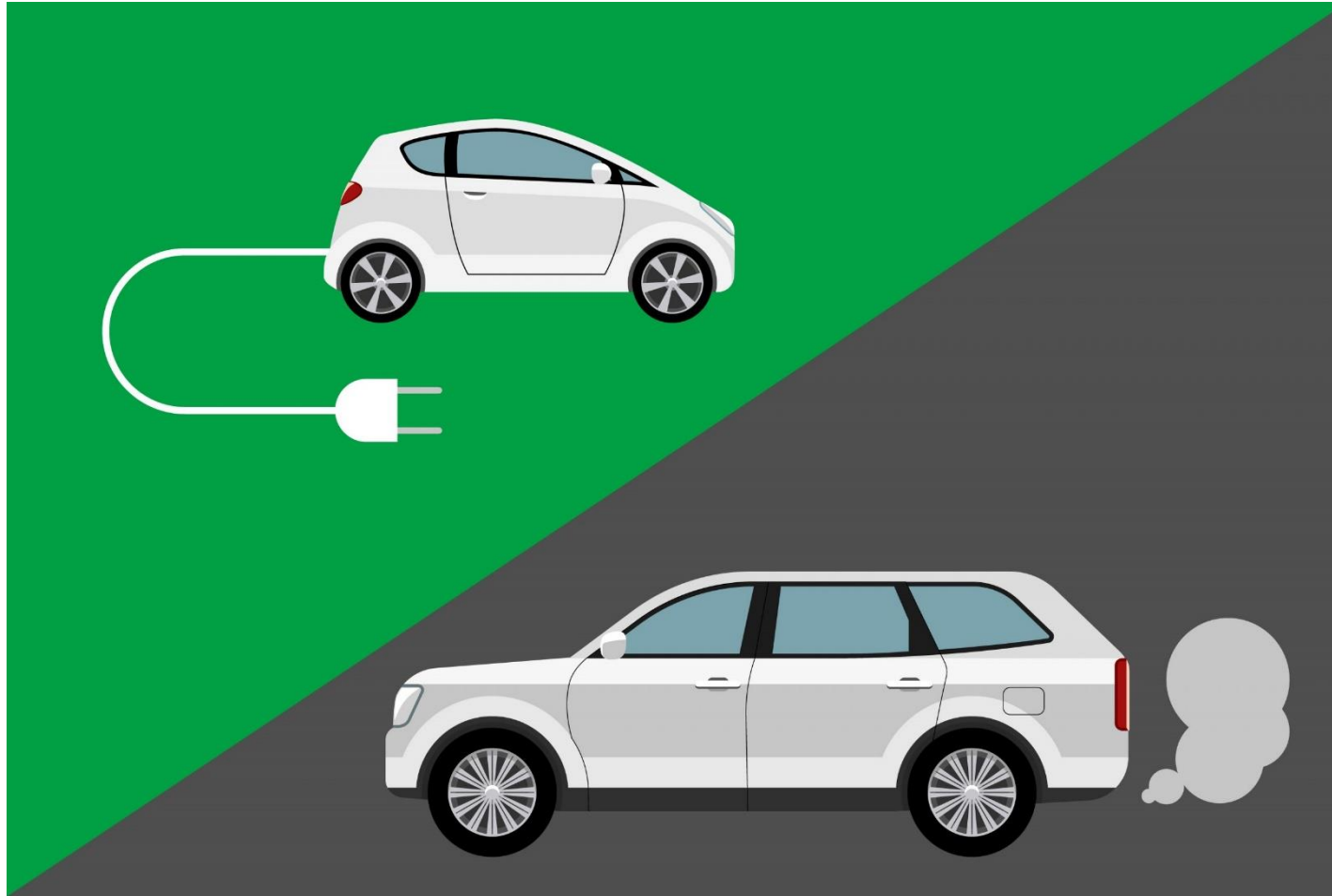
- A leader in commercial property insurance, helping protect businesses against risk
- Company that specializes in loss prevention services primarily to large corporations throughout the world in the Highly Protected Risk (HPR) property insurance market sector
- Company employs a non-traditional business model whereby risk and premiums are determined by engineering analysis as opposed to historically based actuarial calculations
- Approach is centered on the belief that property losses can be prevented or mitigated



Marketing Management



ICE Vs EV?



Marketing Example

- Introduced concept of **BaaS:- Battery as a Service Program**
- Price of the car reduced from INR. 10 L to 7L!

MG Windsor EV launched at Rs 9.99 lakh: Pay-per-km plan takes on petrol cars!

Yash Sharma / TIMESOFINDIA.COM / Updated: Sep 11, 2024, 14:53 IST

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One of the major highlights of the interior is a 15.6-inch infotainment touchscreen. It also has wireless smartphone connectivity and voice recognition in six languages. Other features include a digital driver's display, a 9-speaker audio system ...[Read More](#)

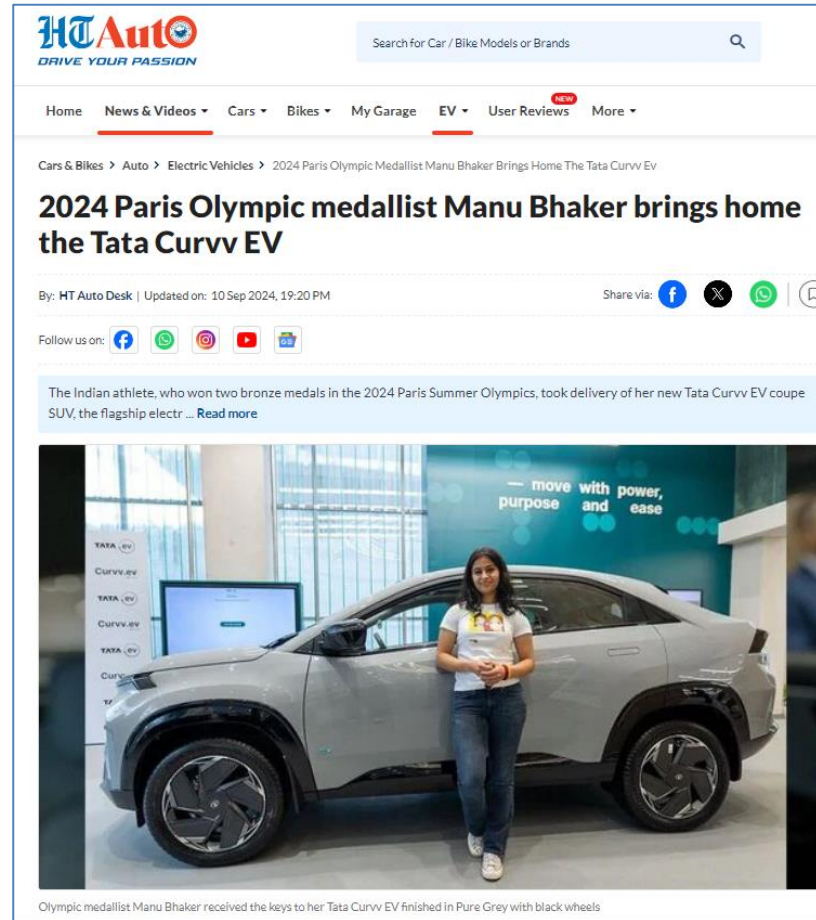


[MG Windsor EV launched at Rs 9.99 lakh: Pay-per-km plan takes on petrol cars! - Times of India \(indiatimes.com\)](https://timesofindia.com/mg-windsor-ev-launched-at-rs-9-99-lakh-pay-per-km-plan-takes-on-petrol-cars/)

Marketing Examples:

Strategy:

Gifting newly introduced car model (Aug 2024) to Olympic medallists will automatically attract global attraction



[2024 Paris Olympic medallist Manu Bhaker brings home the Tata Curvv EV | HT Auto \(hindustantimes.com\)](https://www.hindustantimes.com/auto/2024-paris-olympic-medallist-manu-bhaker-brings-home-the-tata-curvev-ev/)
[Tata Motors honours PR Sreejesh with 'Curve EV' after Paris medal triumph, tata motors gift pr sreejesh car, pj sreejesh electric car, curve ev model car, paris olympics \(mathrubhumi.com\)](https://www.mathrubhumi.com/news/tata-motors-honours-pr-sreejesh-with-curve-ev-after-paris-medal-triumph-tata-motors-gift-pr-sreejesh-car-pj-sreejesh-electric-car-curve-ev-model-car-paris-olympics/)

Marketing Strategy: Example

Parent company



GEELY

吉利汽車控股有限公司
GEELY AUTOMOBILE HOLDINGS LIMITED



Strategy: When Chinese companies are not acceptable to certain markets (such as India), buying an debt ridden European brands and selling Chinese cars with European brand name

[Chinese Car Brands in Europe: Success or Failure? \(gfk.com\)](http://gfk.com)

Marketing Examples: Chinese cars with European Logo

- Baojun 530 and MG Hector
- Wuling EV vs Comet EV



Original Chinese cars with Chinese logo



Chinese cars with UK brand name and UK actor to promote it in India!



[Rebadged Wuling Air EV launched in India as MG Comet \(carnewschina.com\)](http://carnewschina.com)

Marketing Management

Marketing is the economic process by which goods and services are exchanged between the producer and the consumer and their values determined in terms of money.

- Total system of interacting business designed to **plan, promote and distribute need-satisfying products and services to existing and potential consumers**
- Marketing starts **with the identification of a specific need** on the part of the consumer and **ends with the satisfaction of that need**



Marketing Management

Marketing management is one of the main management disciplines, encompassing all the strategic planning, operations, activities, and processes involved in achieving organizational goals by delivering value to customers

- Marketing management focuses on
 - satisfying customer requirements by identifying needs and wants
 - developing products and services to meet them



Key components of Marketing Management

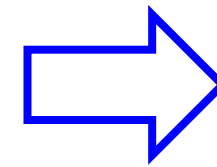
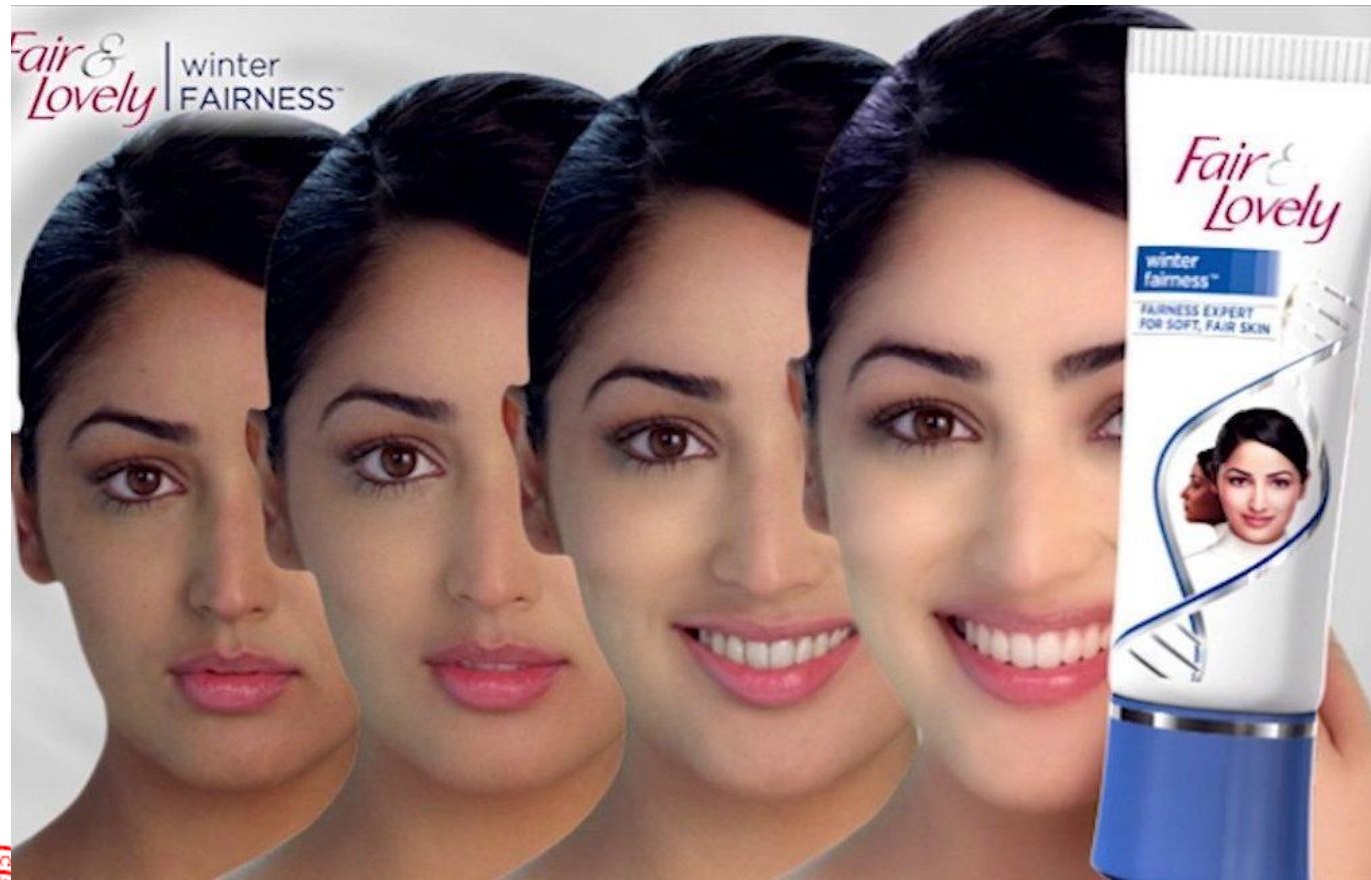
- **Market research:** Gathering information about the target market, competitors, and trends.
- **Market segmentation:** Dividing the market into smaller groups with similar characteristics.
- **Target market selection:** Choosing the specific group of customers to focus on.
- **Product development:** Creating products or services that meet the needs of the target market.
- **Pricing:** Determining the appropriate price for products or services.
- **Promotion:** Communicating the value of products or services to the target market.
- **Distribution:** Ensuring products or services are available to the target market.
- **Customer relationship management:** Building and maintaining strong relationships with customers.



Example: Colgate Advt in 1980s and 2020s



Example: Fair & Lovely to Glow & Lovely



Example: Zudio Vs Westside



Different strategies for different target audiences

[NEWSTRAIL | English daily published in Bengaluru & Doha \(newstrailindia.com\)](http://newstrailindia.com)

Marketing Example: Bajaj V15 and INS Vikrant



Marketing product in a different way!

[When Bajaj fell in love with a retired warship Vikrant, Marketing & Advertising News, ET BrandEquity \(indiatimes.com\)](#)

Marketing Vs Selling

Marketing

- **Focus:** Creating demand for a product or service.
- **Process:** Understanding the target market, identifying needs, developing products or services, and promoting them to create awareness and interest.
- **Activities:** Market research, brand development, advertising, public relations, social media, content marketing, and customer relationship management

Selling

- **Focus:** Closing deals and converting prospects into customers.
- **Process:** Engaging with potential customers, understanding their needs, presenting products or services, overcoming objections, and closing the sale.
- **Activities:** Sales calls, presentations, negotiations, follow-ups, and after-sales support.



Marketing Vs Selling

- The marketing concept gives importance to consumers and the concept holds that the key to achieving organizational goal consists in determining the needs and wants of customers and delivering the desired satisfaction.
- The selling concept is product-oriented and the concept holds that the consumers normally will not buy enough of the organizations products and therefore efforts must be made to force the customers to buy the products.

Selling	Marketing
Product Oriented	Customer oriented
Emphasis on company (seller) needs	Emphasis on customer's need
Company oriented selling efforts	Market oriented selling efforts
Goods are already produced and then sold at profit	Customer demand determines production
Selling aims at short term objectives	Aims at long term objectives



Example of a Marketing System

A company selling smartphones might have a marketing system that includes:

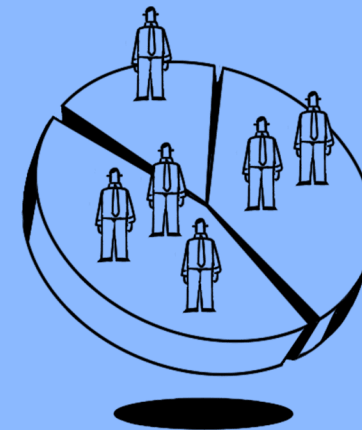
- **Market research** to identify target customer segments and their preferences.
- **Product development** to create new smartphone models with innovative features.
- **Pricing strategies** to set competitive prices based on market demand and costs.
- **Distribution channels** to sell smartphones through retail stores, online platforms, and carriers.
- **Advertising campaigns** to promote the brand and features of the smartphones.
- **Customer service** to provide support and address customer inquiries.

By effectively managing and coordinating these components, a company can build strong customer relationships, increase market share, and achieve long-term success.



Market Segmentation

- Market segmentation is defined as “taking the total heterogeneous market for a product and dividing it into several segments, each of which tends to be homogeneous in full significant aspects.
- It consist of grouping of consumers according to such characteristics as income, age, taste for a product etc.



Market Segmentation

[mār-ket ,seg-men-'t--shen]

A marketing term that refers to aggregating prospective buyers into groups or segments with common needs and who respond similarly to a marketing action.

 Investopedia

Market Segmentation

THE 4 TYPES OF MARKET SEGMENTATION



GEOGRAPHIC

- Zip code/post code
- City
- Country
- Population density
- Distance from a certain location (like your office or store)
- Climate
- Time zone
- Dominate language



DEMOGRAPHIC

- Age
- Gender
- Income
- Occupation
- Family size
- Race
- Religion
- Marital Status
- Education
- Ethnicity



PSYCHOGRAPHIC

- Values
- Goals
- Needs
- Pain points
- Hobbies
- Personality traits
- Interests
- Political party affiliation
- Sexual orientation



BEHAVIORAL

- Purchasing habits
- Brand interactions
- Spending habits
- Customer loyalty
- Actions taken on a website

Types of Market Segmentation

1. **Geographic Segmentation:-** Based on region, continent, country, climate of area etc.
2. **Demographic Segmentation:-** Based on age of customers, family size, religion, community, occupation etc.
3. **Psychographic Segmentation:-** Based on personality types, lifestyles etc.
4. **Buyer behaviour Segmentation:-** Different customer groups expect different benefits from the same product and as such their motivations in owning it and their behaviour in buying it will be different.
5. **Volume Segmentation:-** Based on quantity of purchase or the potential quantity of purchase.



Example: Market Segmentation



Honda Deo: Scooter for teenager



Honda Activa: Scooter for family

Buyer behaviour Segmentation

Marketing Mix

- The marketing mix refers to the blend of four controllable variables that companies use to influence the market responses –
 - Product
 - Pricing
 - Promotion
 - Place/Channels of distribution
- Marketing mixes used by various organizations may vary depending upon the strategies and tactics adopted by them.



Marketing Mix

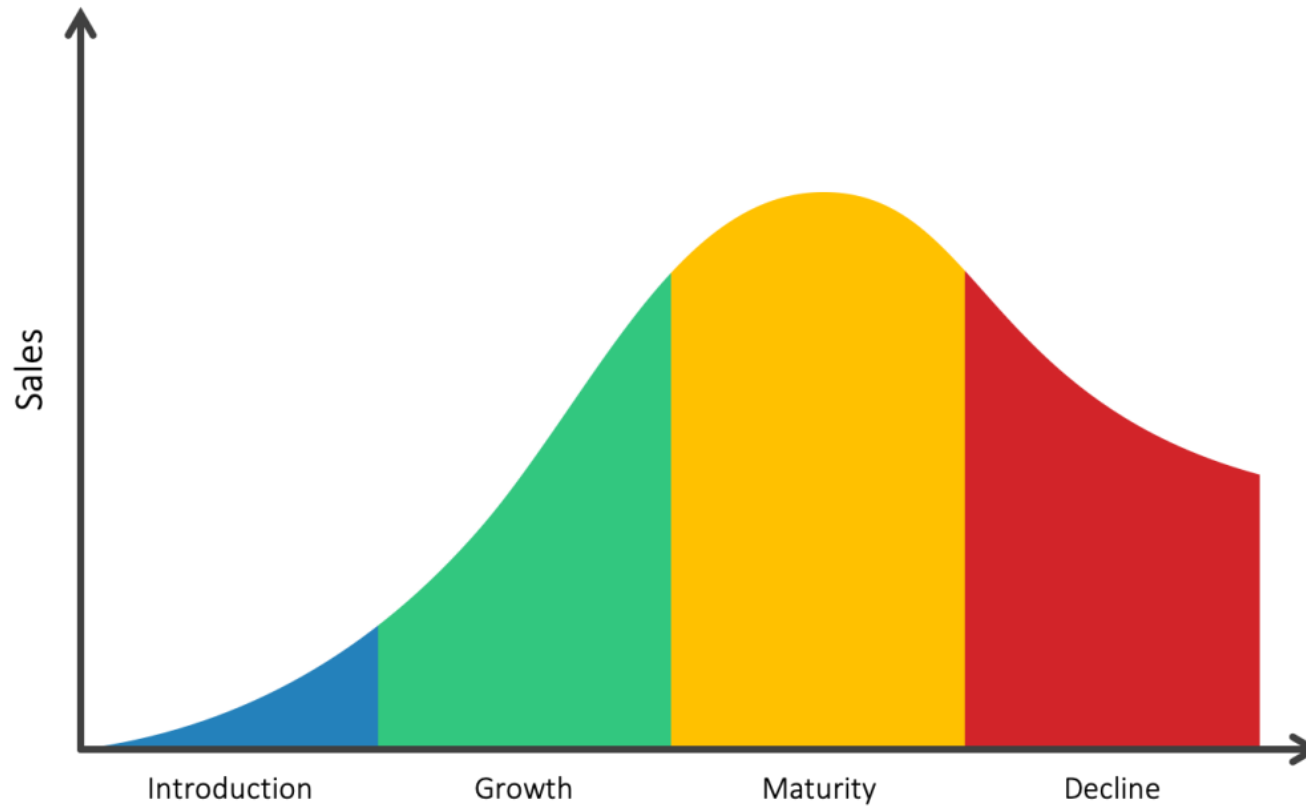


I. Product

- Before marketing:- need to identify consumer need and develop product
- From the marketing view point an **optimal product design would be one that will bring enough profits to the company and at the same time meets the needs and expectations of the customer**
- Aesthetic and functional qualities of the product - any change in design should be properly planned and thought off before implementation.
- **Product Life Cycle:-** Product Life Cycle (PLC) is a marketing framework that helps visualizing and understanding the sales evolution of a product category over time.



I. Product:- Product Life Cycle



Stages a product goes through from its introduction to the market until it is eventually removed or phased out.

[Product Life Cycle \(PLC\) EXPLAINED with EXAMPLES | B2U \(business-to-you.com\)](https://business-to-you.com)

Facelifts to improve sales!

Avoid decline part in product life cycle by introducing facelifts/changes in product



2004



2016



2010



2023

[Suzuki Swift - Wikipedia](#)

Different market different approach



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Features shown in images:
Stereo with Bluetooth, USB & Speakers
Blacked Out Pillars
Driver Side Airbag*
Central Locking
All 4 Power Windows



Air bag may be a selling point in India where it can be considered as luxury, but its mandatory in European and US markets!

2. Pricing



PRICING STRATEGY

2. Pricing

- Price refers to the exchange value of a product or a service.
- One of the most important tasks of a marketing manager is pricing.
- Unless the product is priced properly, all other elements of marketing mix may be rendered ineffective.
- The key factors to be considered in pricing are:

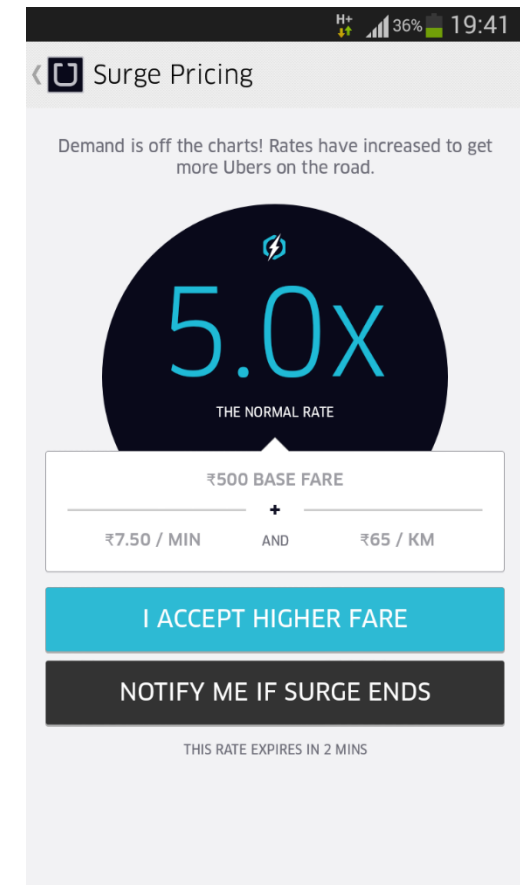
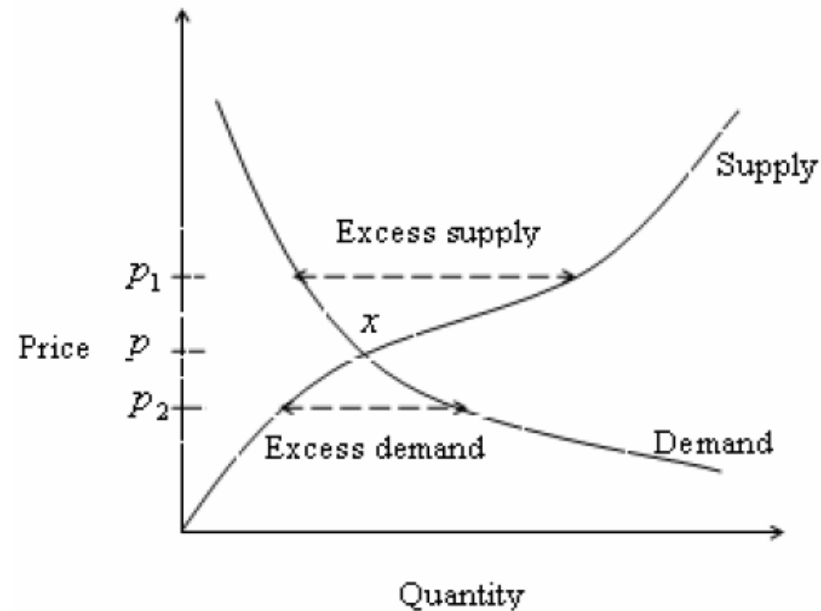
- | | |
|--|---|
| <ul style="list-style-type: none">• Nature and extent of consumer demand• Total cost associated with the product• Legal aspects• Prices for similar products offered by competing firms | <ul style="list-style-type: none">• General economic conditions• Type of customers• Method of promotion• Distribution channels• Life cycle of the product• Profit considerations |
|--|---|

2. Pricing:- Pricing Methods

- Cost Plus Approach
- The Market or Demand Approach
- Cost Plus Approach:- this approach is one of the commonly used methods of pricing. In this method total cost associated with production, selling and distribution are added with the desired profit.
- i.e. $\text{Product Price} = \text{Fixed Cost per Unit} + \text{Variable Cost per Unit} + \text{Profit margin}$

2. Pricing:- Pricing Methods ...

- The Market or Demand Approach:- In this method of pricing, prices are not based on the total cost but allow the market forces (supply and demand) to determine the product price.
- Example: Surcharge in Uber/Zomato during peak hour



3. Promotion

- Promotion is **communication to the potential buyer** and **includes all those activities that will facilitate the sale of a good or service** or acceptance of an idea.
 - Three important types of promotion are
 - Advertising
 - Personnel selling
 - Sales promotion
- 
- A circular collage of various marketing and business-related icons. The icons include a magnifying glass over a globe, gears, a lightbulb, a speech bubble, an envelope, a play button, a network diagram, a person silhouette, a pie chart, a bar chart, a Wi-Fi symbol, a hand holding a device, and a target. The background is a teal gradient with white curved lines suggesting motion or a funnel.



3. Promotion:- Advertising

- Advertising is any form of paid non-personal presentation of ideas, goods or services for the purpose of inducing people to buy In short, “advertising is salesmanship without a personal salesman”.
- Medium:
 - Newspaper
 - TV/Radio
 - Internet
 - Social media
 - Billboards

etc...



Advt: Billboard to promote use of dustbins



3.2 Personal Selling

- Personal selling refers to oral presentation to one or more customers in a face to face situation to persuade them to purchase the product. It involves two way communications between salesman and buyers.
- Some of the positive aspects associated with personal selling are as follows:
 - The salesman act as a consultant to the customers
 - The salesman can adjust his message and presentation according to the needs of the situation and type of customer
 - The salesman can clear the doubts of the customers related with the use or functional aspects of the product
 - Personal selling develops social relations with customers and builds reputation of the company
- Example: Car showrooms

3.3 Sales Promotions



3.3 Sales promotion

- All the activities that **go into the development of sales** or those that are **intended to raise the demand level for a product very quickly** can be termed as sales promotion.
- The idea behind sales promotion is to **bring the name of product** and that of the manufacturer constantly **before wholesalers, retailers and the consumers in order to stimulate the interest in the product.**



"Xerox" has become synonymous with photocopying due to the widespread popularity and dominance of Xerox Corporation in the photocopier market

3.3 Sales promotion methods

- **Consumer Promotion:** Persuading consumers to buy; these include samples, money refund offers, prices-off, trading stamps, contest and competitions, etc.
- **Trade Promotion:** Giving incentives to distributors and others to hold stocks of company products.
- **Sales Force Promotion:** Offering bonuses, contests etc. for the salesmen.
- **Good Public Relations:** Developing goodwill among general public and boosting sales.



3.3 Sales promotion methods

- **Display:** Displays at the point of sale, using posters, banners, placards and leaflets, to attract the customers' attention to the product.
- **Good Customer Relations:** Good customer relations are basically the result of the past transactions with the company.
- **Speedy handling of complaint,** assistance in emergencies, abiding by announced policies, etc. all develops good customer relations and increase future sale of company products.
- **Product exhibitions,** demonstrations, and conferences.
- **Latest product styling** and appealing product packaging catch the eye of the consumer and develop sales volume.



4. Physical Distribution/Channels of Distribution



4. Physical Distribution/Channels of Distribution

- A channel of distribution is the route that the product follows in its passage from the producer to the consumer.
- Factors affecting this route are:
 - Nature of good
 - Nature and location of the markets
 - Price of the product
 - Availability of middlemen, transportation
 - Sales effort required by the middlemen, and
 - Resources of the manufacturer

4. Physical Distribution/Channels of Distribution

- Channels of Distribution mean the intermediaries or the process through which the products are transferred from the producers to ultimate users.
- Physical Distribution is concerned with the flow of goods to the ultimate consumers which includes transportation, warehousing and inventory management.
- Channel management mainly deals with two problems:
 - Channel selection
 - Maintaining the channel



4.1 Channel selection

- Three policy alternatives may be considered in the selection of the channel:
 - The policy of general or intensive distribution whereby the firm seeks to obtain the widest possible distribution for its product by allowing it to be sold everywhere by anyone willing to stock it.
 - The policy of selective distribution, where the manufacturer chooses only those outlets that are best able to serve that company's needs.
 - The policy of using exclusive dealerships, which allows only one distributor to stock and sell the product in a given market.

4.2 Maintaining the channel

It constitutes of 3 aspects:

- Ensure that the terms of contract are followed by all parties.
- Maintain good relations with the middlemen and encourage them to cooperate fully.
- Represent the company to the middlemen by seeing that sufficient cooperation and assurance are provided.

Types of Distribution channels:

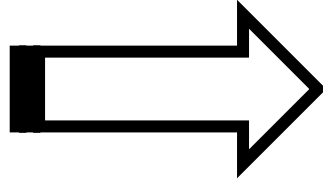
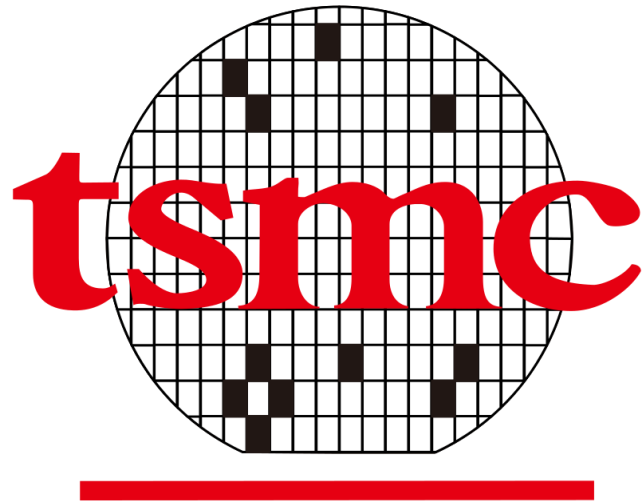
- Direct Sale: This is the simplest form of distribution channel which involves the manufacturer and the consumers.
- Sale through Retailer.
- Sale through Wholesaler.
- Sale through Agent.



Consumer market v/s Industrial markets



Example:- Industrial Markets



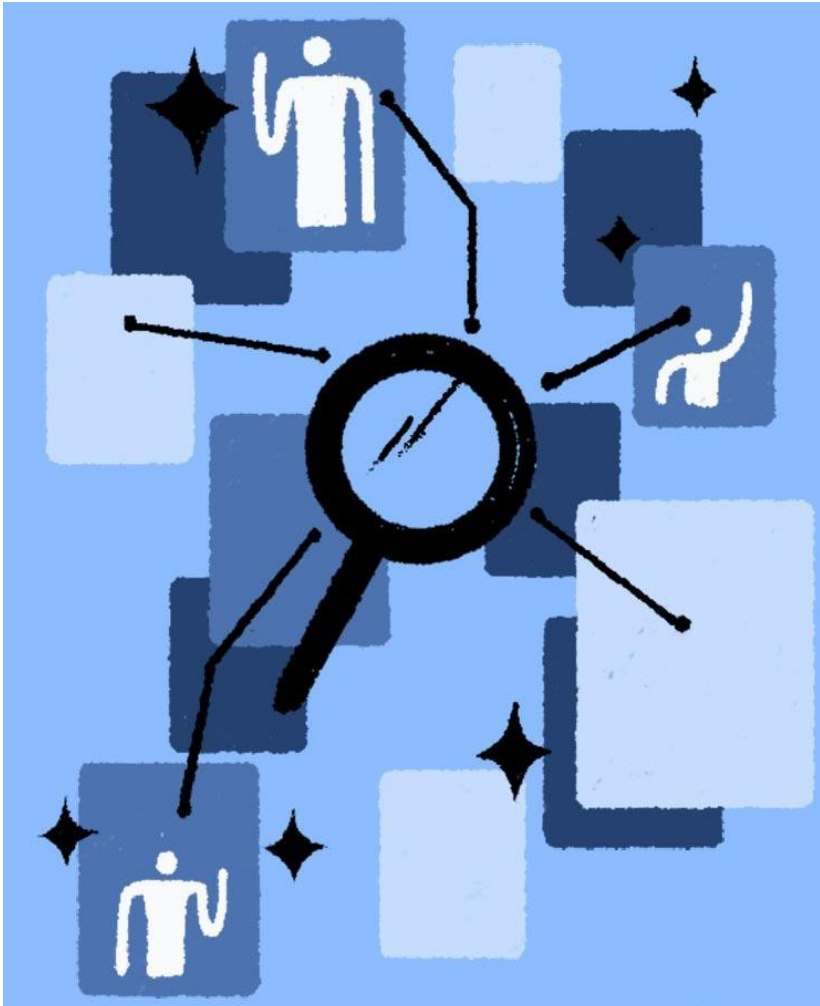
TSMC (Taiwan Semiconductor Manufacturing Company) supplied semiconductors to most of the electronics and communication companies in the world

Consumer market v/s Industrial markets

- **Industrial Marketing:** It refers to the sale of either products or services or both by one organization to other organizations that further resell the same or utilize to support their own system.
- Industrial/Business marketers do not entertain consumers who purchase products and services for their end-use. They deal only with other businesses/firms to sell their products.
- **Consumer Marketing:** on the other hand refers to the transaction of goods and services between organizations and potential customers.
- In consumer markets, products are sold to consumers either for their own use or use by their family members.



Market Research



The illustration features a central magnifying glass with a black handle and frame. Several thin black lines radiate from the lens of the magnifying glass, pointing towards various elements scattered around it. These elements include stylized white human figures in different poses (one with arms raised, one with one arm raised) set against dark blue square backgrounds. There are also several light blue squares and four black four-pointed stars. The entire scene is set against a light blue background.

Market Research

['mär-kæt ri-'sərch]

The process of determining the viability of a new service or product through research conducted directly with potential customers.

Market Research



Thank You